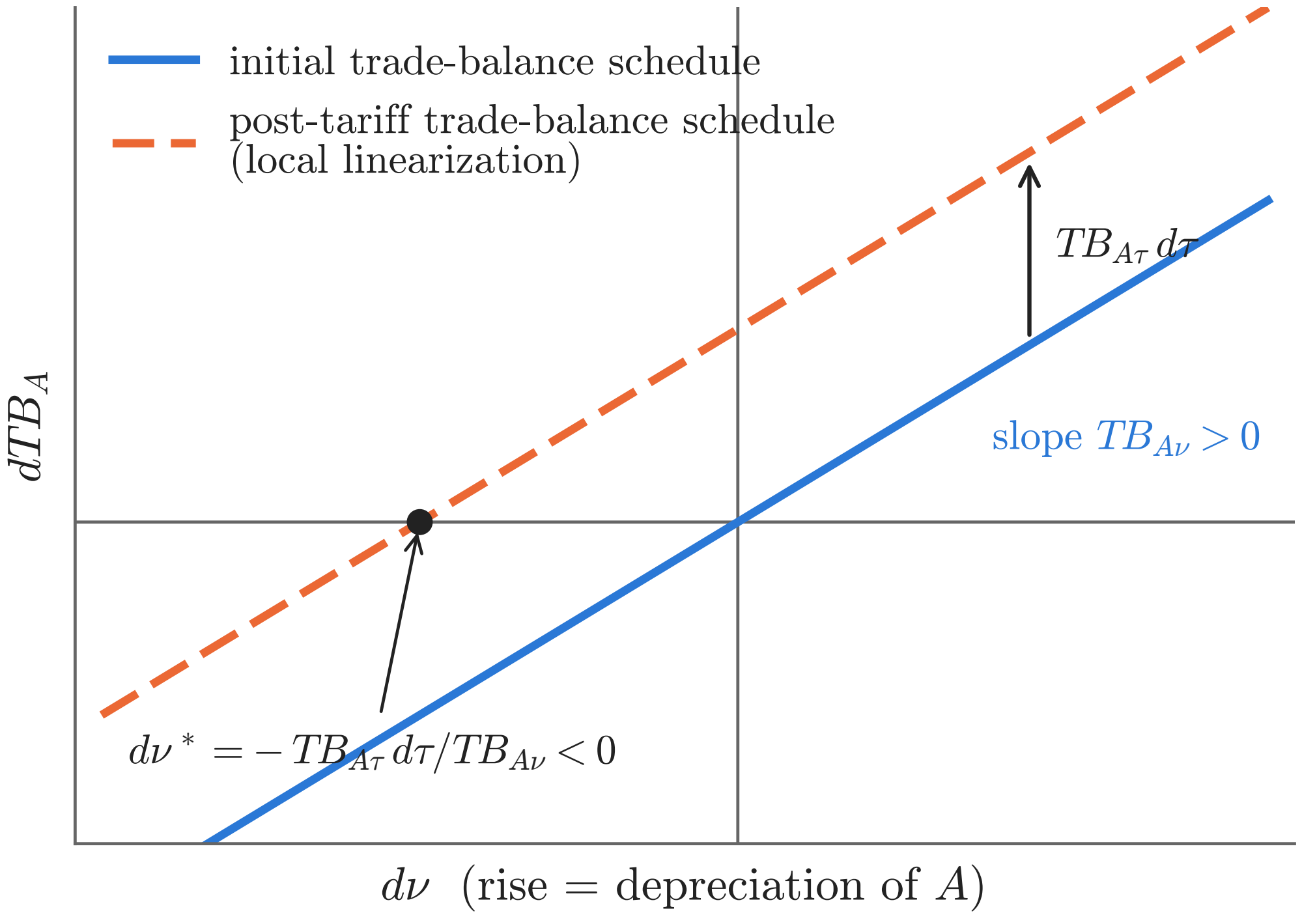
initial trade-balance schedule
post-tariff trade-balance schedule
(local linearization)
$TB_{A\tau}\, d\tau$
slope $TB_{A\nu} > 0$
$d\nu^* = -TB_{A\tau}\, d\tau / TB_{A\nu} < 0$
dTB_A
$d\nu$ (rise = depreciation of A)